HEDGEYE DAILY DIGEST

Tuesday, August 25, 2026 (GMT+8)

A read-through of Hedgeye research published across the Monday, August 24 US session. Yesterday's section covers Friday, August 21 — Hedgeye does not publish over the weekend.

> *The short-US-Dollar trade is doing the heavy lifting. The **US Dollar** fell another **-0.87%** and remains **bearish TREND**, dragging a broad reflation impulse with it — **Gold +5.3% WoW**, **Bitcoin +24% WoW**, **Oil +6.9% WoW**, **Copper Miners +11% WoW**. Hedgeye is positioned for the **#Quad4 (July)** → **#Quad3 (August)** shift with a possible **#Quad1** monthly setup in September, expressed as long **Gold / Euro / Yen** versus short **USD**, long **Healthcare (XLV)** and **Software (IGV)** against a lone sector short in **Utilities (XLU)**. The one genuine crack: **KOSPI** broke its **6796** TRADE line, down **-3.1%**, extending its crash to **-26.6%** from the cycle peak — and Hedgeye is deliberately flat Korea and DRAM semis into **NVDA earnings on Wednesday**.*

Today's Publications

EARLY LOOK — “Dollar Down, Reflation Up”

Early Look · Ryan Ricci · 08/24/26 07:01 AM EDT (19:01 GMT+8)

Ricci opens the week on the factor “that is getting us paid”: **short the US Dollar**. The **USD** fell **-0.87%** and stays **bearish TREND**, with **EUR/USD +0.79% on the week** and **+1.5% on the month**. The book is short **USD vs. long EUR/USD** and long **USD/JPY**. The standout currency was the **Colombian Peso**, **+3.09% on the week** and **+12.8% on the quarter** — relevant because Hedgeye is long Colombia equities via **COLO**. The **Korean Won** added **+2.3%**.

The dollar’s correlation structure is doing the work: **-0.70 to Gold** and **-0.89 to Bitcoin** on a 15-day basis. **Gold rose +5.3% on the week**, **Bitcoin +24%**. Hedgeye is long gold; Bitcoin remains **bullish TREND**. The reflation was broad — **Lumber +1.06% WoW** (long **WOOD**), **Sugar +6.1%**, **Corn +5.2%**, **Copper Miners +11%** (long **ICOP**), and **Oil +6.9%**, which held **bullish TREND** and picked up a **-0.62** 15-day correlation to the dollar.

On the geopolitical input, Ricci reads **Polymarket** odds: the probability that **Strait of Hormuz** traffic normalizes by December has kept falling from **62%** in August toward its **34%** low, while odds the US invades Iran before 2027 sit at lows of **17%**. Translation — no invasion, but no quick reopening either, so **higher for longer** in energy logistics. The top-performing ETF last week outside Bitcoin was tanker shipping (**BWET**).

On rates, long-term yields remain **bullish TREND**. The **UST 10Y yield rose +4bps on the week**; more importantly the **UST 2Y yield flipped to bullish TREND, +6bps**. The next **Fed meeting is 9/16**, and it comes after an **accelerating August headline inflation print due 9/11**. Current odds of a **September rate increase are 31%**, down from a peak of **58%** before last month’s decelerating print.

In equities, the alpha is not in tech. **Healthcare is +7.4% on the month versus SPY +2.5%**, held two ways via **XLV** and **FXH**. The lone sector short, **Utilities (XLU)**, fell **-2.3% on Friday**. The **high-beta momentum basket was -10.5% WoW** — but that basket is short software, and Hedgeye is long it: **IGV** paid on Friday and they will keep buying dips. In semis, **KOSPI broke its 6796 TRADE line**, while **SNDK**, **MU** and **MRVL** all stay **bullish TREND**; Hedgeye holds no position in **EWY** or DRAM semis into **NVDA Wednesday**. Volatility — **VIX**, **NazVol** and **Russell Vol** — sits in the **investable bucket**.

Investment implication: stay short the dollar, own the reflation complex and gold, own Healthcare and Software for the equity alpha, and refuse the semiconductor binary into Nvidia.

Risk Range™ Signals — 08/24/26

Asset	Risk Range	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.65 – 4.75	Bullish
High Yield (HYG)	79.42 – 79.90	Bullish
Investment Grade Corporate Bonds (LQD)	105.4 – 106.6	Bearish
S&P 500 (SPX)	7617 – 7824	Bullish
NASDAQ Composite (COMPQ)	25903 – 26821	Bullish
Russell 2000 (RUT)	2975 – 3075	Bullish
Health Care Select Sector SPDR (XLV)	168 – 177	Bullish
S&P 500 Equal Weight (RSP)	219.00 – 225.00	Bullish
Expanded Tech-Software (IGV)	99.00 – 106.00	Bullish
Volatility Index (VIX)	13.79 – 16.28	Bearish
U.S. Dollar Index (USD)	98.40 – 99.86	Bearish
WTI Crude Oil (WTIC)	80.93 – 88.21	Bullish
Natural Gas (NATGAS)	2.64 – 2.85	Bearish
Gold Spot (GOLD)	4403 – 4694	Bullish
Copper Spot (COPPER)	6.47 – 6.74	Bullish
Silver Spot (SILVER)	64 – 71	Bullish

KM’S TOP 3 THINGS — KOSPI / GOLD / SECTORS

From The Desk · Keith McCullough · 08/24/26 06:30 AM EDT (18:30 GMT+8)

KOSPI — “the Dr. woke up ill this morning.” Korea broke back down through the critical immediate-term **TRADE level of 6796**, **-3.1% on the day**, extending the crash to **-26.6% from its #MOAB cycle peak**. McCullough holds **no position in EWY or DRAM semis** into **NVDA Wednesday** — “choosing no position is a position” — and continues buying dips in **Software (IGV)** instead.

GOLD — the biggest “new” breakout in Big Macro, **+0.8%** on the morning after breaking out to **bullish TRADE and TREND** during the **July–August Quad Shift**. Risk Range **$4,403–$4,694**, a structure implying **big higher lows and new daily highs** — “which is just bullish.”

SECTORS — another strong day in long/short sector selection. The only sector short, **Utilities (XLU)**, fell **-2.3% Friday** to **-3.6% for August** — a textbook reversal, since Hedgeye was long XLU during July’s **#Quad4**. Long **Healthcare (XLV)** rose another **+1.3% Friday** to **+7.4% in August**, roughly **+1,100bps of relative performance over XLU in just over three weeks**.

Immediate-term ranges cited: **SPX 7617–7824**; **UST 10Y 4.65–4.75%**.

THE MACRO SHOW — SUMMARY NOTES, MONDAY AUGUST 24

The Macro Show · Sam Rahman (HAM PM) & Daryl Jones (Dir. of Research) · 08/24/26 10:11 AM EDT (22:11 GMT+8)

Bullish mentioned: XLV, **IGV**, **NVDA**, **MRVL**, **AMZN**, **MSFT**. **Bearish: XLU**.

The headline was a structural portfolio rotation. Over roughly the past **six to eight weeks**, Rahman moved from **6–7 semiconductor/hardware names and 1–2 software names** to just **two semis and 6–8 software names** — the book has “completely flipped.” The driver is as much AI financing risk as market behaviour; he framed it as lowering the portfolio’s risk profile. The two remaining semis are **NVDA** and **MRVL**, and the NVDA position is deliberately small relative to **AMZN**, **MSFT** and software.

On **NVIDIA earnings**, Rahman expects a very strong quarter and guide — the question is the size of the beat against already-high expectations, with the **data-center business potentially approaching double its year-ago level**. Tailwinds into 2H26 and 2027: the **Vera Rubin** transition, higher hyperscaler purchasing, a new incremental demand source from **SpaceX**, and NVIDIA signalling roughly **15% price increases** on chips and servers next year on memory inflation. Even so, he will not over-position into a binary event in a major benchmark stock.

On sectors, the **XLU** short is the key reversal — long in July’s **#Quad4**, short in the subsequent shift, now the only sector short, **-2.3% Friday** and **-3.6% for August**. **XLV** is **+7.4% in August**, roughly **1,100bps** ahead. Dispersion is unusually wide, with Materials also strong on copper/gold constituents.

Gold stays the important macro signal — bullish **TRADE and TREND** since early August as the regime moved from **#Quad4 (July)** into **#Quad3 (August)**, with a potential **#Quad1** monthly setup in September. Range **$4,403–$4,694**.

Jones flagged **month-end positioning risk**: high-beta has been hit far harder than low-beta and high-sales-growth names have lagged, characteristic of hedge funds covering shorts, selling winners and closing books. This is compounding with the continuing unwind of a large hedge-fund portfolio reportedly taken over by **Citadel**, thin late-August volume and major upcoming earnings.

On **META**, Rahman is negative — a view, not a stated short. The core ad business remains exceptional at **40–45% operating margins**, but building proprietary AI models and compute demands enormous capex with open questions on duration, cost, margins and whether Meta ends up a **fourth- or fifth-tier** compute player. **California litigation** is a further, hard-to-quantify risk.

On **AI** broadly, he separates the technology (bullish, still very early — coding productivity is real, consumer behaviour change is not yet) from the financing (concerning — circular financing, rising debt, on- and off-balance-sheet obligations, and especially chip suppliers investing in customers who then buy their chips). That distinction is precisely why hardware exposure came down and software went up.

CAPITAL ALLOCATION PRO — DAILY DASHBOARD | MODEL PORTFOLIOS

Capital Allocation Pro · Robert McGroarty, Andrew Nanai, David Salem · 08/24/26 08:15 AM EDT (20:15 GMT+8)

No new model portfolio changes were published in this edition. The most recent changes went into effect using **closing prices on Wednesday, August 19th, 2026**. **TREND and TAIL levels for the 68 ETFs** were last refreshed on **closing prices of Friday, July 31st**, on the standard **3–4 week update cycle**. The August **Monthly Commentary** was posted **August 5th**, and the latest **Key Callouts video** was recorded **August 6th**.

SIGNAL STRENGTH STOCKS — 80 STOCKS (0 ADDED, 6 REMOVED)

Signal Strength Stocks · 08/24/26 02:56 PM EDT (02:56 GMT+8, Aug 25)

The screen contracted from **86 to 80 names**. **Zero additions**; **six removals** — **FSLY**, **NVDA**, **URI**, **TTWO**, **ATRO**, **COMP**. The **NVDA** drop is the notable one, coming two days ahead of earnings and consistent with the deliberate no-position stance across the desk. Note the morning edition (**09:05 AM EDT**) had shown **86 stocks, 0 added, 0 removed** — the contraction happened intraday.

BITCOIN TREND TRACKER — CRYPTO QUANT | BTC (+1.0%)

Bitcoin Trend Tracker · Josh Steiner, Christian Drake, Matthew Cooper · 08/24/26 08:35 AM EDT (20:35 GMT+8)

BTC +1.0% overnight, following **+24% on the week**. Author's note: the team is travelling this week, so content is **limited to Risk Range updates** — the usual **on-chain, anecdata and US ETF flow** sections are suspended and resume next week. Bitcoin remains **bullish TREND**.

ETF PRO PLUS & PORTFOLIO SOLUTIONS

ETF Pro Plus · 08/24/26 01:08 PM EDT (01:08 GMT+8, Aug 25)

1 new ETF Pro change posted to the dashboard. The **Daily ETF Re-Rank (8/24/2026)** showed top movers **IGV (+10)**, **VCSH (+8)** and **RSP (+6)** — the software and equal-weight bias visible in the model showing up in the quantitative re-rank as well.

Covering Friday, August 21 (US session) — Hedgeye does not publish over the weekend, so there is a two-day gap between these items and today's.

Yesterday's Publications

EARLY LOOK — "A PARABLE OF AN OLD FISHERMAN"

Early Look · Sam Rahman · 08/21/26 07:36 AM EDT

What: A reflective, non-tactical Early Look built around Rahman's first fly-fishing trip to **Big Sky, Montana in 1997** and Norman Maclean's *A River Runs Through It*.

Why: The argument is about **duration**. Markets reward stillness and observation over constant action — fewer, better casts caught more fish. More practically, the same market reads bullish, bearish or volatile depending on whether you measure by month, quarter or year, so a change in measurement can make a decision right, then wrong, then right again.

Who: Sam Rahman, Portfolio Manager at Hedgeye Asset Management.

Key numbers: Ranges published — **SPX 7610–7835**, **UST10Y 4.64–4.74% (bullish)**, **USD 98.24–99.91 (bearish)**, **GOLD 4322–4617 (bullish)**, **VIX 13.90–16.54 (bearish)**, **WTIC 81.25–87.92 (bullish)**, **IGV 99.00–107.00 (bullish)**.

Takeaway: Today's biggest questions — **AI spending as bubble or investment**, geopolitical reshaping of commodity logistics, how far oil falls if flows keep leaking through the **Strait of Hormuz** — all support opposing views simultaneously. Your duration decides which risk matters.

KM'S TOP 3 THINGS — KOSPI / GOLD / VIX

From The Desk · Keith McCullough · 08/21/26 07:09 AM EDT

What: A buy-the-dip note published after Thursday's panic selling.

Why: Nothing changed mathematically in the US equity vol regime — **SPX remained in the Investable Bucket**, where McCullough aggressively buys dips.

Who: KOSPI, **Gold**, **VIX**, plus **SNDK**, **MU**, **MRVL**, **ICOP**.

Key numbers: SPY had corrected only **-2% from all-time highs** on **decelerating volume**; **KOSPI held green after breaking out above the 6697 TRADE level**; **Gold +1.6%** on a continuing bullish **TRADE and TREND** breakout as the dollar hit post-intervention lows; **Copper +1.9%**; **Bitcoin** and **Silver** both confirmed **bullish TREND breakouts**. McCullough moved to **12 longs and 1 short** in Real-Time Alerts. Ranges: **SPX 7610–7835**, **UST10Y 4.64–4.74%**, **VIX downside to a new cycle low of 13.90** against potential **new SPX all-time highs at 7835**.

Takeaway: Panic without regime change is an opportunity — reiterating long **Gold, Euros, Yen** versus short **USD**, with **positive gamma** in SPX and 1-month realized vol expected to slide below 3-month post monthly OPEX.

THE MACRO SHOW — SUMMARY NOTES, FRIDAY AUGUST 21

The Macro Show · Keith McCullough & Emma Vlasic · 08/21/26 10:05 AM EDT

What: The most consequential positioning note of the week — McCullough moved aggressively long into the pullback.

Why: Signal-driven, not discretionary: the market had corrected only **~2%**, the vol regime remained **investable**, and monthly **OPEX** dynamics pointed to 1-month realized vol falling below 3-month with the market in **positive gamma**.

Who: Bullish — **Gold (AAAU)**, **EUR**, **JPY**, **COF**, **JPM**, **Philippines (EPHE)**, **New Zealand (ENZL)**, **Copper Miners (ICOP)**, **Drone & Warfare (JEDI)**, **Colombia (COLO)**. Bearish — **USD**, **Qatar (QAT)**.

Key numbers: Long-only account moved to its **maximum 30 positions**; Real-Time Alerts widened to **12 longs versus 1 short** — as long as he has been since roughly **2021**. Financials showed a **77% implied-volatility premium**, prompting **COF** and **JPM** buys. **VIX downside 13.90**. **NVDA** Risk Range roughly **213–230**, with TRADE ~**212** and TREND ~**205**.

Takeaway: Several important changes. **Semiconductor risk improved** — KOSPI reclaimed its TRADE breakout and **SNDK**, **MU**, **MRVL** returned to bullish TREND, with a **KOSPI move above 7,000** potentially driving a significant semis move into NVDA. **Brazil was called the biggest macro mistake of the last three months** at roughly a **-4% loss**, with an explicit instruction to exit despite attractive Quads. **Philippines** was named the clearest Asian buying opportunity, supported by **three consecutive upcoming Quad 1 regimes**.

Long New Zealand / short Qatar was called a favourite pair. **Bitcoin flipped from bearish to bullish TRADE and TREND** and was explicitly called “a long,” though McCullough is not chasing it — he prefers buying assets that are down. **Spain** remained the strongest European signal, followed by **Greece**.

MOMO TRACKER — MAJOR US SEMIS SNDK, MU AND MRVL LED SPX

Momentum Stock Tracker · Christian Drake, Ryan Ricci · 08/21/26 08:39 AM EDT

What: The momentum dashboard for Friday.

Why: Confirms the Thursday reversal in semiconductor momentum.

Who: SNDK, **MU**, **MRVL**.

Key numbers: MU and **MRVL** were the two largest positive contributors to the **S&P 500** in the prior session.

Takeaway: The semis momentum recovery that McCullough flagged in Top 3 Things was visible in the leadership tape — a setup that has since partially unwound with Monday’s **KOSPI -3.1%** break.

MACRO WEEK SUMMARY NOTES

From The Desk · 08/21/26 05:42 PM EDT

What: The weekly wrap covering the Macro Dashboard, Weekly Macro Commentary, **VIX Gauge**, **U.S. Monthly Quad Forecast**, Chart of the Week and Market Insights.

Note: The full document sits behind a separate link and was not expanded for this digest; the item is listed here for completeness.

SIGNAL STRENGTH STOCKS & OTHER

Signal Strength Stocks 08/21/26 03:12 PM EDT · ETF Pro Plus 08/21/26 10:07 AM EDT

Friday’s screen showed **86 stocks (1 added, 2 removed)**, versus **87 (3 added, 6 removed)** on Thursday — a gently contracting breadth picture that continued into Monday’s drop to **80**. **ETF Pro Plus** posted **2 new changes** Friday morning plus a **new Weekly Report** Sunday evening (**08/23 09:04 PM EDT**).